



REQUEST FOR PROPOSAL

MULTI-BRAND AND OMNICHANNEL 4PL

UNITED STATES

OCTOBER 2022

Groupe
L'OCCITANE

INDEX

1. L'OCCITANE GROUP	3
2. REQUEST FOR PROPOSAL	3
2.1. INTRODUCTION	3
2.2. DISCLAIMER	4
2.3. OBJECTIVES	4
2.4. BRANDS PRESENTATION	5
2.5. CURRENT DISTRIBUTION NETWORK	6
2.6. SCOPE OF THE RFP	7
2.7. PROCESSES DESCRIPTION	8
2.8. FACILITY REQUIREMENTS	8
2.9. INTERFACE / IT REQUIREMENTS	8
2.10. SELECTION CRITERIA AND L'OCCITANE'S EXPECTATIONS	9
2.11. RESPONSE REQUIREMENTS	10
3. TIMELINE	12
4. CONTACT INFORMATION	12

1. L'OCCITANE GROUP

L'OCCITANE Group is a global manufacturer and retailer of natural cosmetics and well-being products.

We are committed to developing high quality products and demonstrate respect for the environment throughout each step of the process.

We are proud to have become an international group with nine leading beauty brands and presence in more than 90 countries.

L'OCCITANE
EN PROVENCE

Melvita
FRANCE
ORGANIC BEAUTY, HEALTHY BEAUTY

erborian
KOREAN SKIN THERAPY

L'OCCITANE
AU BRÉSIL

LimeLife by Alcone

ELEMIS

DUOLAB

Sol de Janeiro

GROWN ALCHEMIST
BIOLOGICAL BEAUTY

Find more at <https://group.loccitane.com/>

2. REQUEST FOR PROPOSAL

2.1. INTRODUCTION

L'OCCITANE Group is reviewing its logistics network in the United States in order to be able to deliver the best service level to our customers, in a context of growth and expansion in both retail & ecommerce channels, for the 5 brands present in the country: L'Occitane En Provence, Erborian, Elemis, LimeLife and Sol de Janeiro.

From a strategy perspective, this redesign network will rely on warehousing and transportation services that will be the base for distribution to serve retail, wholesale, and ecommerce businesses, as well as the place of execution for value added services (kit assembly, quality check, labelling).

For this purpose, L'OCCITANE is launching this Request for Proposal (RFP) process in order to select the logistics service provider that will fully support us in the development of a multi-brand and omnichannel logistics network, willing to constantly challenge ourselves and get the best quality.

2.2. DISCLAIMER

L'OCCITANE Group reserves the right of continuing this process only with selected companies and cancelling the process at any time.

L'OCCITANE is not responsible for any cost incurred by the proponents in response to this RFP or any subsequent negotiation.

Any information shared in this process is always strictly confidential and may be used solely for the purpose of responding to this RFP. Confidential information includes this RFP and all proprietary or non-public information from L'OCCITANE Group in any form that is identified as confidential or by the circumstances around disclosure must be treated as proprietary or confidential.

Distribution or disclosure of any information contained in this RFP to any third party is prohibited without prior written consent from L'OCCITANE Group. The RFP proponents may not use any materials, information or data provided by L'OCCITANE, whether anonymized or not, for any other purpose not specifically described in this RFP without express written consent from L'OCCITANE.

2.3. OBJECTIVES

To deliver first in class service to our customers, L'OCCITANE Group in the USA is looking for outsourcing warehousing, ecommerce and B2B customer fulfilment & transportation services, as well as value added services (such as Regulatory labeling, Kitting / Unkitting / Tester Conversion, Quality checks, Return handling).

This RFP challenges potential 4PL Providers to develop innovative solutions to help us achieving our objectives:

- **To deliver optimum ratio cost / service level:** full cost will be considered, so having the right location for operations, and ad hoc organization and processes, must be considered to optimize distribution costs.
- **To improve requested service level defined by a list of KPIs:** in-time goods receipt, in-full outbound, inventory liability, customer claims, on time loading, delivery, etc.
- **High level of pick & pack accuracy and service level** on ecommerce operations & last mile delivery to end consumers are extremely important.
- To demonstrate **high level of flexibility on peak seasons**, either on weekly, monthly or yearly basis.
- To be **a strong support to be innovative and competitive** in terms of lead time, services, and cost improvement program.
- To engage on **sustainable solutions** in line with L'OCCITANE Group's sustainability goals.
- **To support and enable future growth** of L'OCCITANE brands.

2.4. BRANDS PRESENTATION

L'OCCITANE EN PROVENCE

L'Occitane was born in 1976 in Provence in the south of France where the fragrant fields of lavender are a constant reminder of the region's natural richness.

A true story lies behind each of the natural ingredients, almost all of which are gathered in the south of France or the Mediterranean. The brand's fragrances, skincare, haircare and body and bath ranges are inspired by the quality of their ingredients and the benefits they offer, combined with the unique know-how of the region's local artisans, making products that stimulate the senses and offer a moment of well-being and sensory delight.

To find out more about L'Occitane En Provence products, please visit <https://www.loccitane.com/en-us/>

ERBORIAN

The Erborian skincare brand – its name derived from "Herbs of the Orient" – combines the effectiveness of herbs from the traditional Korean pharmacopoeia with Korean formulation technologies.

Erborian creates hybrid products, such as its iconic BB and CC creams, that bridge the gap between skincare and makeup. They reflect a key desire of the brand: to enable all women to achieve their own perfect skin.

To find out more about Erborian products, please visit <https://usa.erborian.com/>

ELEMIS

Carefully crafted by a dedicated team of explorers, scientists, and skincare experts, ELEMIS is the No.1 British skincare brand that meets your ever-evolving skin and lifestyle needs.

Developed first for professional treatments, we expertly combine cutting-edge technology with nature's most powerful actives sourced from above and below the earth's surface.

ELEMIS takes great pride in the integrity and efficacy of every formula. Backed by rigorous clinical and consumer trials, we create clean formulations that respect the skin and deliver visible, transformative results.

To find out more about Elemis products, please visit <https://us.elemis.com/>

LIMELIFE

When we started Limelife, our intention was simple — we wanted to share all the beauty secrets our family company had acquired over 65 years in the professional makeup industry.

We soon realized that our products did more than improve complexions and enhance natural beauty — they had a significant impact on confidence. When people are more confident, they envision and invest in a future that is more inspired, collaborative, and fruitful than they had ever imagined. If our products can help women and men invest in their world, they just might change the world.

To find out more about Limelife products, please visit <https://www.limelifebyalcone.com/>

SOL DE JANEIRO

Sol de Janeiro is a results-driven and addictively scented body and hair care line. Founded in the US by beauty and branding experts, the brand established its mission to embolden a movement of self-celebration and joy through the power and warmth of the Brazilian spirit worldwide with the tagline ‘Love it. Flaunt it. You’ve got it.’

Harnessing the power of nutrient-rich ingredients sourced from the Amazon and beyond, Sol de Janeiro’s line includes a range of products for body and hair, fine fragrance, sun protection, shower essentials and more. Made in the USA with globally sourced ingredients from certified suppliers, the entire line is cruelty-free and boasts reef-safe SPF.

To find out more about Sol de Janeiro products, please visit <https://soldejaneiro.com/>

2.5. CURRENT DISTRIBUTION NETWORK

L’OCCITANE EN PROVENCE, ERBORIAN and ELEMIS

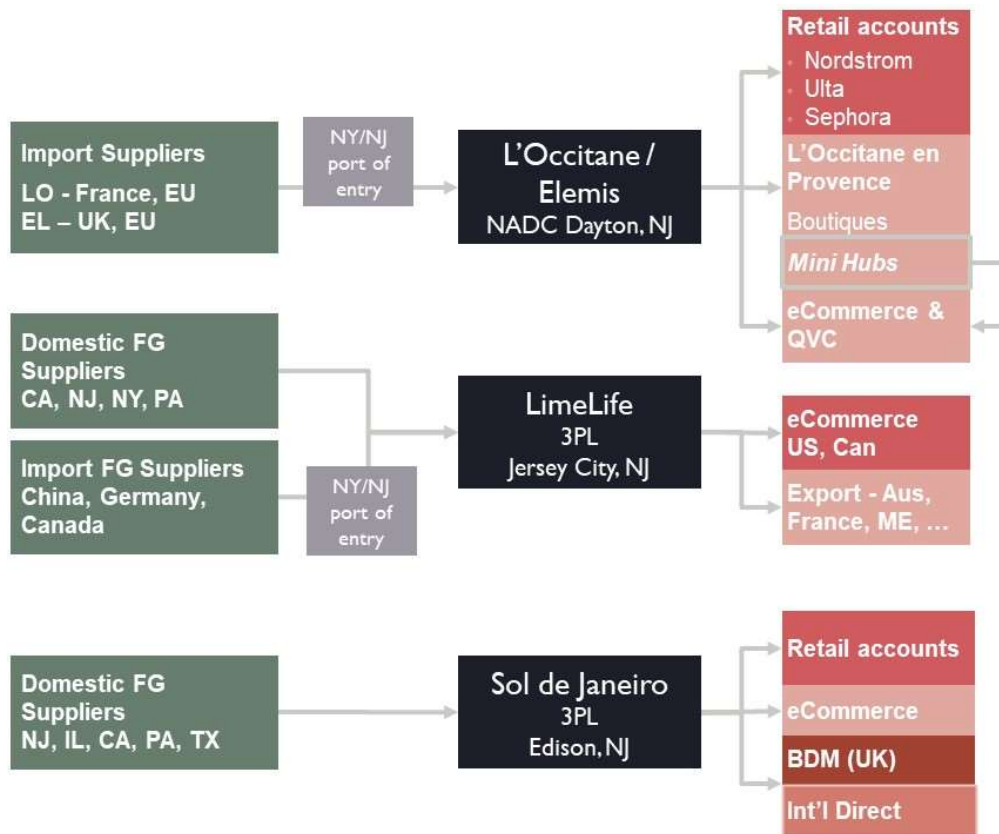
- Internally operated DC in Dayton, NJ (NADC)
- Wholesale, eCommerce and retail store channels
- Lease expires in July 2024
- Product is imported through the port of NY/NJ
- Key customers are big box beauty retailers and department store accounts, QVC

LIMELIFE

- Third party operated DC in NJ
- Direct to consumer eCommerce only
- Sourced from domestic contract manufacturers offshore and domestic

SOL DE JANEIRO

- Recent acquisition, 3PL operated DC in Edison, NJ
- Wholesale and eCommerce channels
- Key customers are big box retailers
- Domestically sourced

**2.6. SCOPE OF THE RFP**

- Inbound – Reception to Putaway
- Inbound – Quality Check Process
- Inventory Management – Cycle Count Process
- Pick & Pack-Outbound Operations for retail, B2B and e-commerce
- Value Added Services (VAS)
- Kitting
- Transportation for retail, B2B and e-commerce
- Reverse Logistics
- Monitoring of Performance indicators
- CSR implementation in operations
- Continuous Improvement Program

2.7. PROCESSES DESCRIPTION

On the **Appendix 1 – Processes and Information**, there are the descriptions of the services, as well as minimum SLA expected. Also, there are some examples of kits specifications and routing guides on **Appendix 2 – Specification Samples**.

As part of the RFP, the expectation is that each proponent can demonstrate how it would be able to support these assumptions.

During the bidding process, there will be time to clarify questions and potentially propose alternative flows or solutions.

The processes from appendix 3 are references and further discussions may determine the final flow upon tender awards & during project migration period.

2.8. FACILITY REQUIREMENTS

L'OCCITANE Group is looking for a total building size of 300 to 350K square feet. The facility should have minimum 36-foot ceiling height. Ambient storage is sufficient.

2.9. INTERFACES / IT REQUIREMENTS

Real Time Communication transfer through API and format would be XML or JSON.

Information that will be fed from L'Occitane:

- Material master data information (sku, description, weight, dimension, qty per box, qty per pallet, etc.)
- Order preparation details (sku, qty, customer ID and address, shipping date expected, preparation specificities, etc.)
- Inbound (receipt goods) information (sku, qty, batch, etc.)
- Inbound (returns RMA) information (sku, qty, etc.)

Information that will be required back from Provider:

- Order confirmation details (sku, qty shipped, batch, date shipped, tracking number, carton number, pallet number, etc.)
- Inbound (receipt goods) information by pallet (sku, qty, batch, etc.)
- Inbound (returns RMA) information (sku, qty, etc.)
- Inventory Adjustments: shrink, damages, quality issue, etc

Provider will work with L'OCCITANE to conduct system review sessions to identify and document company processes and technical requirements for use in the effective support of the WMS and the other information systems.

Provider will work with L'OCCITANE to ensure the WMS is configured correctly to support the process and technical requirements. Proposed WMS must meet the following requirements:

- Adequate testing system
- Batch code with shelf-life management and FEFO management
- Inventory level in unit by batch code (ability to blocked stock if expired, damaged, quality issues, etc.)
- Orders by brands and country, ability to filter on sku/carrier/country/customer ID for order prioritization
- To edit delivery note, packing list, vendor labels and others legal specific documents for logistics and transport
- To send EDI message to the carriers and allocate orders to the better carrier (lead-time/cost/specifics constraints)

L'OCCITANE group will need access to reporting as well as agreed KPI's.

In case we have a footprint extension (second warehouse, for example), the goal is to have the flows going through our Order Management System.

2.10. SELECTION CRITERIA AND L'OCCITANE'S EXPECTATIONS

Several criteria will be considered to select the best offer. A non-exhaustive list includes:

- Costs
- Capacity to answer to all activities at expected quality level
- Capacity to propose a competitive roadmap
- Ability to adapt the structure to our brands growth

Also, it is important that the proponents respect L'OCCITANE's fundamental commitments regarding the respect of nature and sustainable development and principles regarding social, ethic and environmental challenges.

As part of L'OCCITANE Group's homologation process, any company that has a business relationship with us is required to sign our attached Code of Business Conduct (**Appendix 3 – Code of Business Conduct**). This is a mandatory step, so I kindly ask you to send this document signed back to me together with the quotation you are going to provide.

We encourage you to read our invitation letter (**Appendix 4 – Responsible Procurement Letter**) to be part of our #NotJustSuppliers program, an initiative that aims to direct the social, environmental, and ethical performance of our purchasing at all stages of our business relationships. It explains about EcoVadis assessment, which is mandatory for our vendors.

EcoVadis assessment results in a score that considers all the criteria on Corporate Responsibility required by L'OCCITANE. Please note that it is necessary to achieve a score on EcoVadis at least of 25.

Proponents are also required to answer to some questions regarding the company's global CSR performance, environmental footprint, HR, business ethics and responsible Procurement. L'OCCITANE Group may require documents that confirm the answers provided on this questionnaire, that is available at Coupa.

We are also fighting against the climate crisis and our target is to achieve **Carbon Net Zero** emissions by **2030**.

Upstream and downstream transportation and distribution (Scope 3) accounted for 9% of the Group's carbon footprint in FY2020 and we have ambitious targets to reduce its impacts. We are looking for a partner who can support us on this journey.

2.11. RESPONSE REQUIREMENTS

CONTRACT TERMS

The expected contract period is 3 to 5 years.

Price revision, renewal and termination terms are to be discussed. No automatic renewals are accepted. A bonus/malus process based on a contract SLA can be discussed.

Invoicing requirements: no later than 3rd working day of the month, for previous month activities.

PRICING MODEL

Answers should include a pricing model for all activities described in this RFP filling **Appendix 5 – Price Matrix**, where you can find the projected volumes for 5 years and a simulation of warehousing and transportation costs on a 5-year horizon, for each line of cost.

This annual cost simulation needs to be based on the volumes provided in the sheet “**Volumes Projection**” in **Appendix 5 – Price Matrix**. Please note these volumes are not a contractual commitment, but estimated volumes to enable the completion of this RFP.

In case additional assumptions are taken, please clearly identify these assumptions with required explanations. Any RFP answer not matching these volumes will be disregarded, as they may be non-comparable with other answers.

Fixed Operating Budget

- L'OCCITANE Group requires that facility and equipment related startup costs be amortized over the length of the contract.
- L'OCCITANE Group has limited equipment which will be discussed during the contracting phase for the provider to take over. However, for bid purposes, provider should assume L'OCCITANE Group will not supply any equipment for this operation.

Startup Costs

Provider to provide a list of expected startup costs that are not part of operating budgets. This may include items such as recruiting, training, building preparation, detail design, etc. and it is included in **Appendix 5 – Price Matrix**.

Annual Budget, Wage Increases, Inflation

It is expected that annual budgets will be developed between L'OCCITANE Group and provider. During this time, L'OCCITANE Group and provider will negotiate in good faith an agreed upon budget plan.

Any annual direct labor wage increase must be adjusted by a percentage equal to the change in the Bureau of Labor Statistics Employment Cost Index (Not Seasonally Adjusted, Total Compensation, Private Industry, 12-Month Percentage Change, All Workers) as reported for the preceding 12 months.

Any additional increases must be negotiated with L'OCCITANE Group with an anticipation of at least 30 days before the date of the price adjustment requirement. No price adjustments will be approved before 12 months of contract.

Provider must include in the proposal the public inflation index that must be used for any price adjustment.

PROPOSAL

Please prepare a technical and a commercial proposal and include all the documents on Coupa, considering the above and the following items:

- Brief company presentation
- Social and Environmental engagements that your company has
- Code of Business Conduct signed
- Written commitment on EcoVadis assessment according to our requirements once your company is awarded
- Customer references – with contact information (e-mail address and phone number)
- Main activities, logistics network and carrier partners
- Logistics and transport solutions answering to our needs: proposed locations within your existing network, main process, selected carriers, ability to support our growth, customs expertise, co-packing solution, etc.
- Price model with cost simulation
- Inflation index for price reviews
- IT integration model, WMS selected, Online tools
- Roadmap and Team project proposal

Quotation needed for 2 facility options in the US. Operations requirements are the same for both locations.

Option A: New Jersey

Option B: Mid-West/Central

Please include the prices for each option in the **Appendix 5**.

Your company will have the chance to present the technical proposals after the submission, according to the timeline below. The invites will be sent shortly.

Q&A

Please send via message on the event on Coupa your questions in the file **Appendix 6 – Q&A**.

It is important to consider that all the questions and answers will be shared with all the proponents of the RFP, to ensure that all the companies have the same level of information to prepare de proposal.

Questions that do not follow the template and/or are sent to other people and asked in different ways of communications will not be answered.

3. TIMELINE

Below you can find the proposed timeline for the first phase of this project. We will discuss the next steps and timeframe once we have the first analysis of the first proposals.

Sending the RFP	Oct 18th	L'Occitane
Sending Questions to L'Occitane	Oct 28th	Vendor
Sending Answers to Vendors	Nov 2nd	L'Occitane
1st Proposal Due Date	Nov 14th	Vendor
1st Proposal Presentation	Nov 17th & 18th	Vendor & L'Occitane
Feedback on 1st Proposal	Nov 30th	L'Occitane

4. CONTACT INFORMATION

The primary contact people for this process are below:

Commercial contact:

- Acacia Galli – Procurement Director
acacia.galli@loccitane.com

Supply Chain contact:

- Maritza Lombardi – Senior Director of Lean Engineering, Supply Chain
maritza.lombardi@loccitane.com